



LIFE REPORT

FOR THE FIRST QUARTER ENDED 31 MARCH 2021



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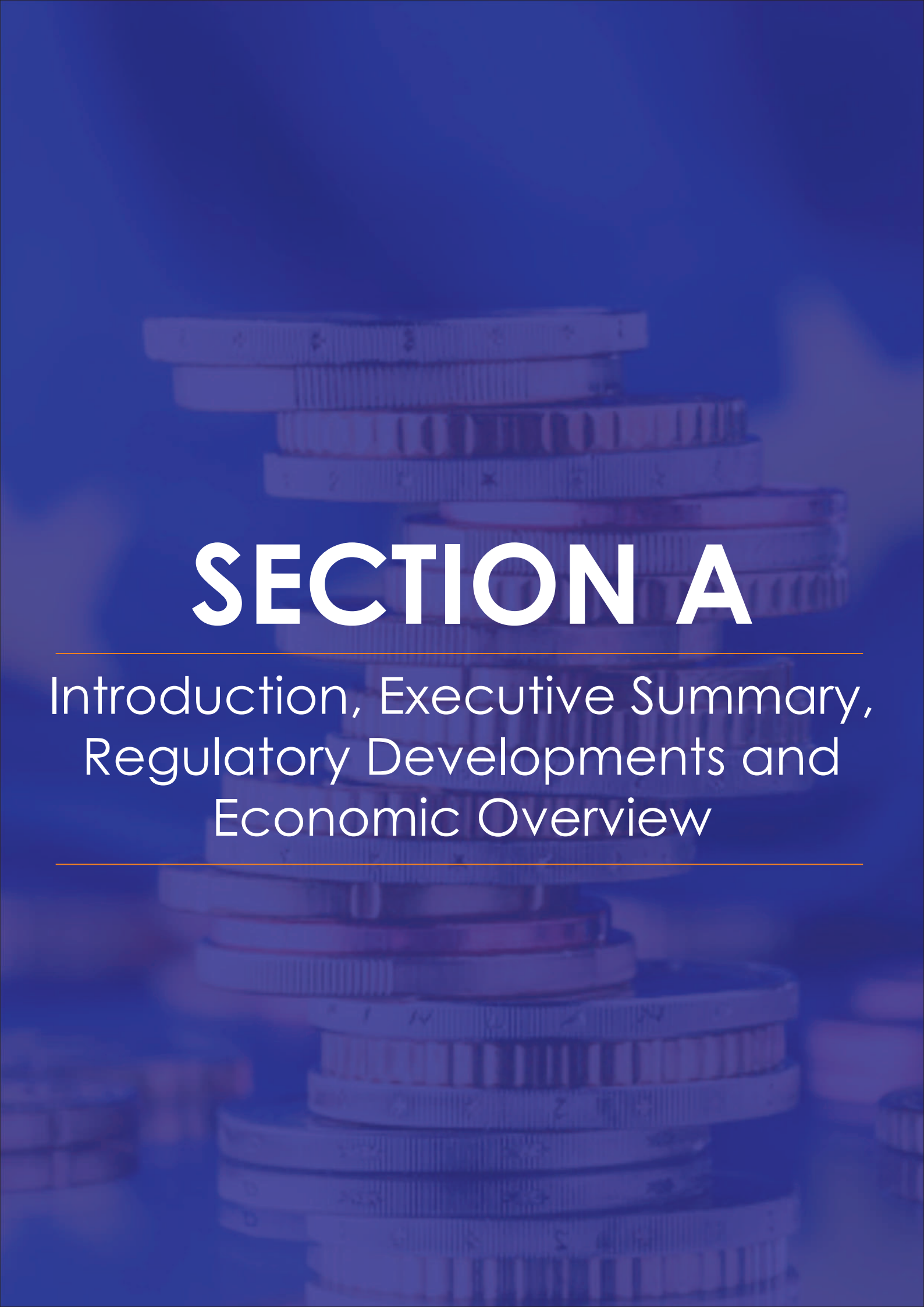
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A background image showing a stack of coins, likely Euro coins, with a blue overlay. The coins are stacked in a way that creates a sense of depth and texture. The blue overlay is semi-transparent, allowing the details of the coins to be visible while providing a uniform color background for the text.

SECTION A

Introduction, Executive Summary,
Regulatory Developments and
Economic Overview

Introduction Executive Summary, Regulatory Developments and Economic Overview

1. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the life assurance industry consistent with its statutory mandate for the 3 months ended 31 March December 2021.

Terms of Reference

The activities of the Commission, are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*];
- Pension and Provident Funds Act [*Chapter 24:09*];
- Insurance Act [*Chapter 24:07*];
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
- Finance Act [*Chapter 23:04*];
- Public Entities and Corporate Governance Act [*Chapter 10:31*];
- Public Finance Management Act [*Chapter 22:19*]; and
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*].

2. Executive Summary

- 2.1 For the quarter ended 31 March 2021, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1, 332 agents.
- 2.2 As at 31 March 2021, Gross Premium Written (GPW) by direct life assurance companies stood at ZW\$3.42 billion, representing a nominal increase of 492% from ZW\$577.7 million reported for the period ended 31 March 2020.

- 2.3 The increase of 492% in GPW for the quarter ended 31 March 2021 was mainly attributable to significant increase in premiums generated from the funeral assurance and group Life Assurance business.
- 2.4 Business growth in these two classes, maybe attributed to increases in premiums from both existing and new policies, as policyholders upgrade their policies for protection against the Covid-19 pandemic.
- 2.5 GPW for life reassurers grew by 465% from ZW\$11.4 million reported for the quarter ended 31 March 2020 to ZW\$64.1 million for the comparative period.
- 2.6 On inflation-adjusted basis, the GPW for direct life assurers grew by 71.12% from ZW\$577.7 million reported for the quarter ended 31 March 2020 to ZW\$988.51 million reported for the quarter ended 31 March 2021.
- 2.7 Inflation adjusted GPW for life reassurers grew by 63.26% from ZW\$11.35 million reported for the quarter ended 31 March 2020 to ZW\$18.54 million reported for the quarter ended 31 March 2021.
- 2.8 During the period under review, eleven (11) out of the twelve (12) direct life assurance companies and all four (4) composite reinsurance companies reported capital positions that were compliant with the prescribed minimum capital requirements of ZW\$75 million and ZW\$112.5 million respectively.
- 2.9 The Commission is engaging the non-compliant player to ensure compliance with minimum capital requirements.
- 2.10 As at 31 March 2021, direct life assurers recorded a 47.85% nominal growth in total assets from ZW\$32.6 billion reported as at 31 December 2020 to ZW\$48.2 billion.
- 2.11 Growth in assets was mainly attributable to the strong performance by equity investments on the Zimbabwe Stock Exchange.
- 2.12 The asset base for composite reassurers grew by 45.53% from ZW\$1.30 billion as at 31 December 2020 to ZW\$1.89 billion as 31 March 2021.

2.13 As at 31 March 2021, the average prescribed assets compliance ratio for life assurers and life reassurers stood at 0.31% and 9.06% respectively against the required minimum prescribed asset ratio of 15%.

2.14 All direct life assurance companies and 3 (three) out of 4 (four) life reinsurance companies were not compliant with the minimum prescribed asset ratio of 15%.

2.15 In terms of profitability, nominal profit after tax for the life assurance sector declined by 25.49% from ZW\$6.4 billion reported for the quarter ended 31 March 2020 to ZW\$5.1 billion reported for the quarter ended 31 March 2021.

2.16 Underwriting profit for the life assurance sector decreased from ZW\$104.76 million for the quarter ended 31 March 2020 to negative ZW\$741.27 million. The decrease in underwriting profit was mainly driven by an increase in claims and transfer to technical reserves from ZW\$243.32 million for the quarter ended 31 March 2020 to ZW\$3.19 billion for the quarter ended 31 March 2021.

Table 1: Summary of key financial indicators.

	Life Assurance				Life Reassurers			
Financial aspect	Mar-2020	Mar-2021	Mar-2021 Inflation adjusted	Growth (Inflation adjusted)	Mar-2020	Mar-2021	Mar-2021 Inflation adjusted	Growth (Inflation adjusted)
GPW (ZW\$000)*	577,681	3,420,252	988,512	71.12%	11,354	64,136	18,536	63.26%
NPW (ZW\$000)	570,353	3,359,847	971,054	70.25%	8,262	48,380	13,983	69.24%
Claims (ZW\$000)	243,321	3,189,072	921,627	278.77%	2,230	46,064	13,313	497.00%
Management operating expenses (ZW\$000)	209,948	723,935	209,230	-0.34	1,988	7,042	2,035	2.36%
Commissions (ZW\$000)	26,606	176,655	51,056	91.90%	2,262	9,706	2,805	24.01%
Technical costs (ZW\$000)	479,875	4,089,662	1,181,913	146.30%	6,480	62,812	18,153	180.14%
Profit after tax (ZW\$000)	6,373,386	5,136,437	1,484,519	-76.71%	25,458	130,776	37,797	48.47%
Financial aspect	Dec -20	Mar-21	Growth %		Dec -20	Mar -20	Growth	
Total Assets (ZW\$000)*	32,599,565	48,199,960	47.85%		1,297,297	1,886,630	45.53%	
Total Liabilities (ZW\$000)	15,573,800	23,933,111	53.68%		666,377	945,219	41.48%	
Capital (ZW\$000)	17,025,655	24,266,849	42.53%		630,920	941,412	49.21%	
Capital to liability ratio	109.32%	101.40%	7.92%		94.68%	99.60%	4.92%	
Prescribed assets (ZW\$000)	752,772	148,595	-80.26%		42,598	35,565	19.77%	
PA ratio %	2.43%	0.31%	-2.12%		3.28%	9.06%	5.78%	

3. Economic Overview

3.1 Covid-19 Impact on Global Economic Developments

It is one year since World Health Organization (WHO) declared Covid-19 a global pandemic. The accumulating death toll still remains a concern despite the growth in the vaccine rollout coverage aimed at reducing the number of infections as well as Covid-19 related complications. For the period between January and March 2021 Covid-19 confirmed cases recorded globally were 46 135 152 and associated deaths 935 353. The first quarter 2021 cases were, however, 5.9 percent lower than those recorded in the fourth quarter of 2020, an improvement attributed to vaccine administration.

A high level of uncertainty surrounds global output in the outlook. Economic recovery is expected to be uneven across jurisdictions depending on vaccination rollouts, policy support measures and the adjustment by sectors to new ways of doing business.

3.2 Covid-19 Impact on Businesses

The pandemic accelerated the digitalisation of both supervisory processes and the insurance business value chain. For regulators, key learnings from the Covid-19 crisis have been used to future-proof supervision. Consequently, going forward some supervisory processes shall be streamlined to ensure agility effectively backed by resilient digital infrastructure.

For the industry, Covid-19 presented an opportunity to leapfrog digitalisation. However, as with the law of unintended consequences the automation process resulted in increased operational efficiency and excess staff. Redundancy risk leading to calls for voluntary retrenchments in the industry have heightened with corporate restructuring and streamlining of operations. The Commission has noted that entities with clients offering tourism related activities have remained hamstrung due to the pandemic with some struggling to keep up with paying premiums. Others, in cross border transportation

services have also reduced fleet size and retrenched work force. However, the full impact of the pandemic on the industry is still unfolding.

3.3 Global and Regional Economic Outlook

The International Monetary Fund projects global output to grow by 6.0% in 2021 from an estimated contraction of -3.3% in 2020, before moderating to 4.4% in 2022. The growth forecasts are underpinned by additional fiscal support in large economies such as the United States, adaptation to the new ways of conducting business, and the anticipated vaccine-powered recovery. The World Bank's world output forecast for 2021 is slightly lower at 4% and is expected to moderate to 3.8% in 2022, weighed down by the pandemic's lasting damage to potential growth.

Advanced economies are expected to grow by 5.1% in 2021, a 0.8 percentage point's improvement from IMF's January 2021 projection of 4.3%. The expected growth is a reflection of business adapting to the challenging health situation through resorting to teleworking and improving COVID-19 containment measures.

GDP growth for emerging markets and developing economies (EMDEs) is projected to expand by 6.7% in 2021 (IMF 2021). China remains the fastest growing economy and is expected to register a growth rate of 8.4% in 2021 and 5.6% in 2022, supported by strong policies and resilient exports. The global economic outlook projections are summarised in Table 2.

Table 2: World Economic Outlook Projections (Percentage Change)

	2020	2021*	2022*
World Output	-3.3	6.0	4.4
Advanced Economies	-4.7	5.1	3.6
USA	-3.5	6.4	3.5
Euro Area	-6.6	4.4	3.8
Emerging Markets and Developing countries	-2.2	6.7	5.0
China	2.3	8.4	5.6
Sub-Saharan Africa	-1.9	3.4	4.0
Nigeria	-1.8	2.5	2.3
South Africa	-7.0	3.1	2.0

Source: April 2021 World Economic Outlook, IMF. * Projections

The Sub-Saharan Africa (SSA) region is projected to grow by 3.4% in 2021 (IMF 2021). The World Bank sets the region's growth at between 2.3% and 3.4% in 2021 supported by improved exports and commodity prices, along with a recovery in both private consumption and investment. The episodes of virus resurgence and mutations may undermine the growth prospects for the SSA region in 2021.

3.4 Domestic Economic Outlook

The Zimbabwean economy is expected to recover from a projected contraction of 4.5% in 2020 to a growth of 7.4% in 2021 and 5.5% in 2022. All sectors of the economy are expected to register positive growth in 2021, with the agriculture and mining sectors expected to record the highest growth rates of about 11% each, tourism (6.8%), and electricity (10%) Financial, banking and insurance activities (7.1%), among the major sectors. Economic activity is expected to improve in 2022, with GDP growing at around 5%, as consistent implementation of the National Development Strategy 1 reforms start bearing fruit.

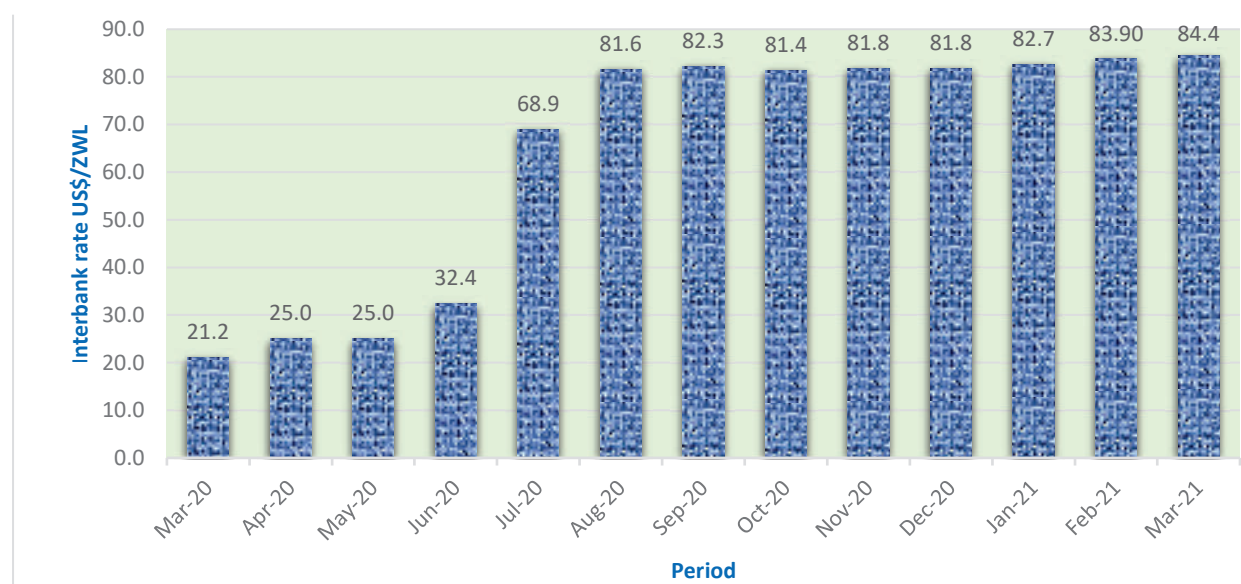
The IMF and World Bank economic growth projections for the country in 2021 are conservatively set at 3.1% and 2.9% respectively and that of 2022 at 4.0% and 3.1%.

3.5 Exchange Rate Movements

During the first quarter of 2021 the Zimbabwean dollar depreciated by 3.2% from an interbank rate of ZW\$81.8 as at 1st of January 2021 to ZW\$84.4 as at 31 March 2021. The weakening of local currency emanated from high foreign exchange demand, as businesses were gearing for re-stocking anticipating the opening up of the economy. However, of concern has been the diverging alternative market premium, which has been built into the pricing structures. Accordingly, there are still some headwinds as repricing of claims is marked at the parallel market and not at the official rate.

Figure 1 shows the interbank exchange rate movements during the period March 2020 to March 2021.

Figure 1: Interbank Exchange Rate March 2020 to March 2021 (US\$/ZWL) – End of Period



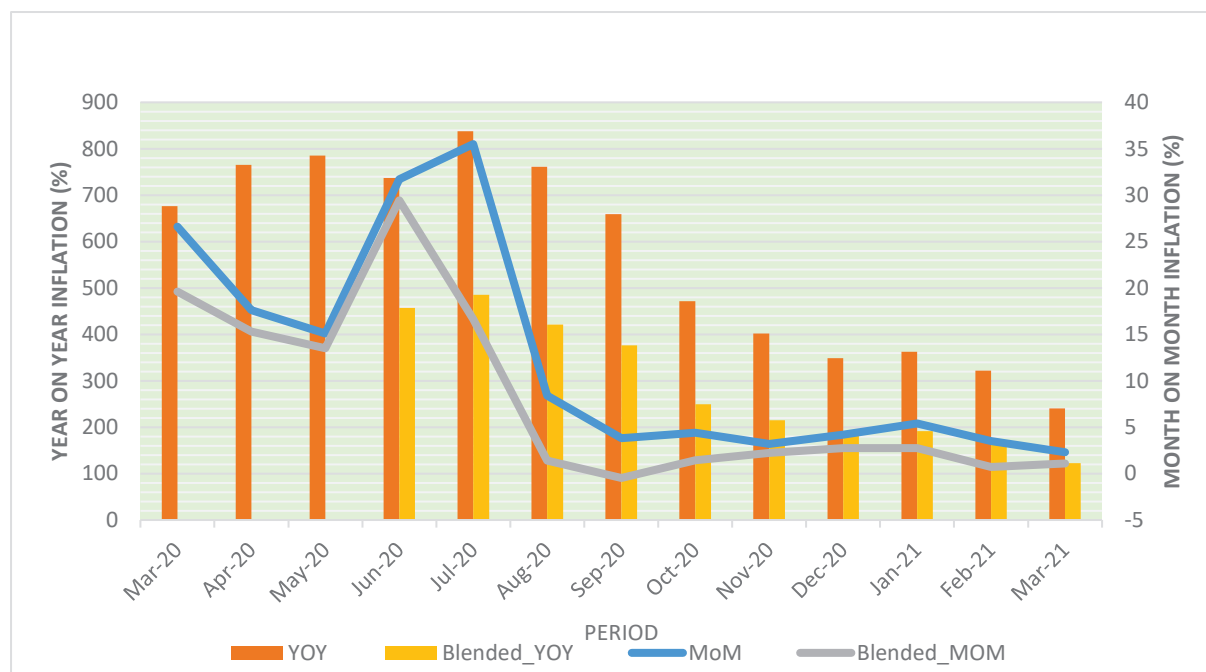
Source: Reserve Bank of Zimbabwe

3.6 Inflation Developments

Annual inflation in January 2021 increased to 362.6% from the December 2020 figure of 348.6% mainly attributable to adjustments of electricity, fuel and rates at the beginning of the year. However, stability was maintained in the rest of the quarter as inflation decreased to 240.6% in March 2021. Similarly, the annual blended inflation rate decreased from 191.5% in January 2021, to

122.3% in March 2021¹. The changes in inflation rates for the period of March 2020 to March 2021 are illustrated in Figure 2.

Figure 2: Inflation profile March 2020 to March 2021.



Source: Zimbabwe National Statistics Agency

Month on month inflation rate declined from 5.4% in January 2021 to 3.5% in March 2021. Notable declines were registered in clothing and footwear from 104.2% in January 2021 to 103.21% in March 2021 and education from 116.0% to 113.70% over the same period.

Whilst the decline in inflation rate is commendable as it is assisting in boosting business and consumer confidence, more still needs to be done to bring down inflation to a single digit level (below 10%) as projected, by December 2021.

3.7 Zimbabwe Stock Exchange and Victoria Falls Stock Exchange Developments

Equity market highlights

Local equities were bullish in the first quarter of 2021, as investors continue with hedging activities seeking a safe haven for their wealth in light of limited

¹ Annual blended CPI inflation combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZWL and USD.

investment options. The All -Share index went up by 68.11%, from 2,636.34 points recorded in December 2020 resulting in a real return of 50.8% after factoring quarterly inflation. Major indices recorded positive growth in the first quarter of 2021 with the Top 10, Medium Cap and Small Cap indices gaining 54.37%, 90.98% and 297.2% to close at 2,580.33 points, 10,487.48 points and 47,327.53 points, respectively. The quarter under review also witnessed a mining index gain of 33.82% to close at 5,532.09 points. However, the value of shares traded decreased by 16.17% in the first quarter of 2021 compared to the fourth quarter of 2020 and market turnover declined by 7.66% during the quarter under review. Table 2 illustrate the key stock market development indicators in the fourth quarter of 2020 and first quarter of 2021.

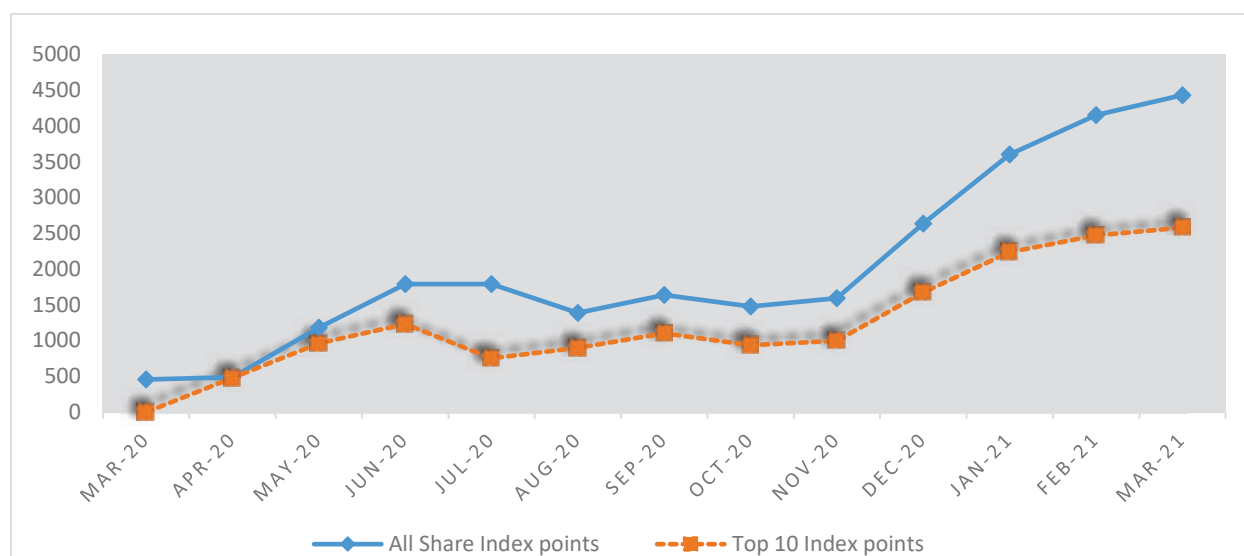
Table 3: Key stock market development indicators

ZSE Indicator	Dec-2020	Mar-2021	Change (%)
All share index (points)	2636.34	4432.50	68.11
Top 10 Index (points)	1671.47	2580.33	54.37
Medium Cap Index (points)	5491.09	10487.48	90.98
Small Cap Index (points)	11914.14	47327.53	297.2
Mining Index (points)	4134.09	5532.09	33.82
Volume of shares traded (ZW\$ million)	33.27	27.89	-16.17
Market turnover(ZW\$m)	501.71	463.29	-7.66

Source: Zimbabwe Stock Exchange (ZSE)

On an annual basis, all the stock market indices recorded phenomenal gains, riding on the positive sentiments, as shown on Figure 3.

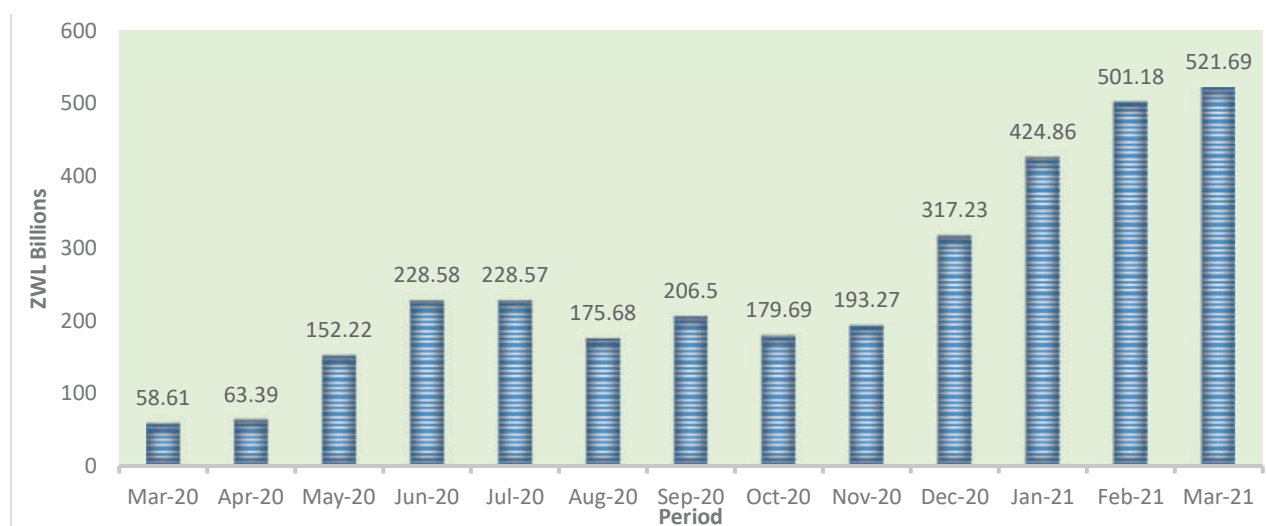
Figure 3: Zimbabwe Stock Exchange All Share and Top 10 Indices



Source: Zimbabwe Stock Exchange

Market capitalisation level further improved in the first quarter of 2021. Following heightened speculative behaviour, the local bourse gained ZW\$204.46 billion, or 64.45% worth of capitalization to ZW521.69 billion during the first quarter of 2021, from ZW\$317.23 billion recorded in December 2020. Figure 4 shows market capitalization developments for the period 26 March 2020 to 26 March 2021.

Figure 4: Daily Market Capitalisation in ZW\$ Billions from March 2020 to March 2021



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

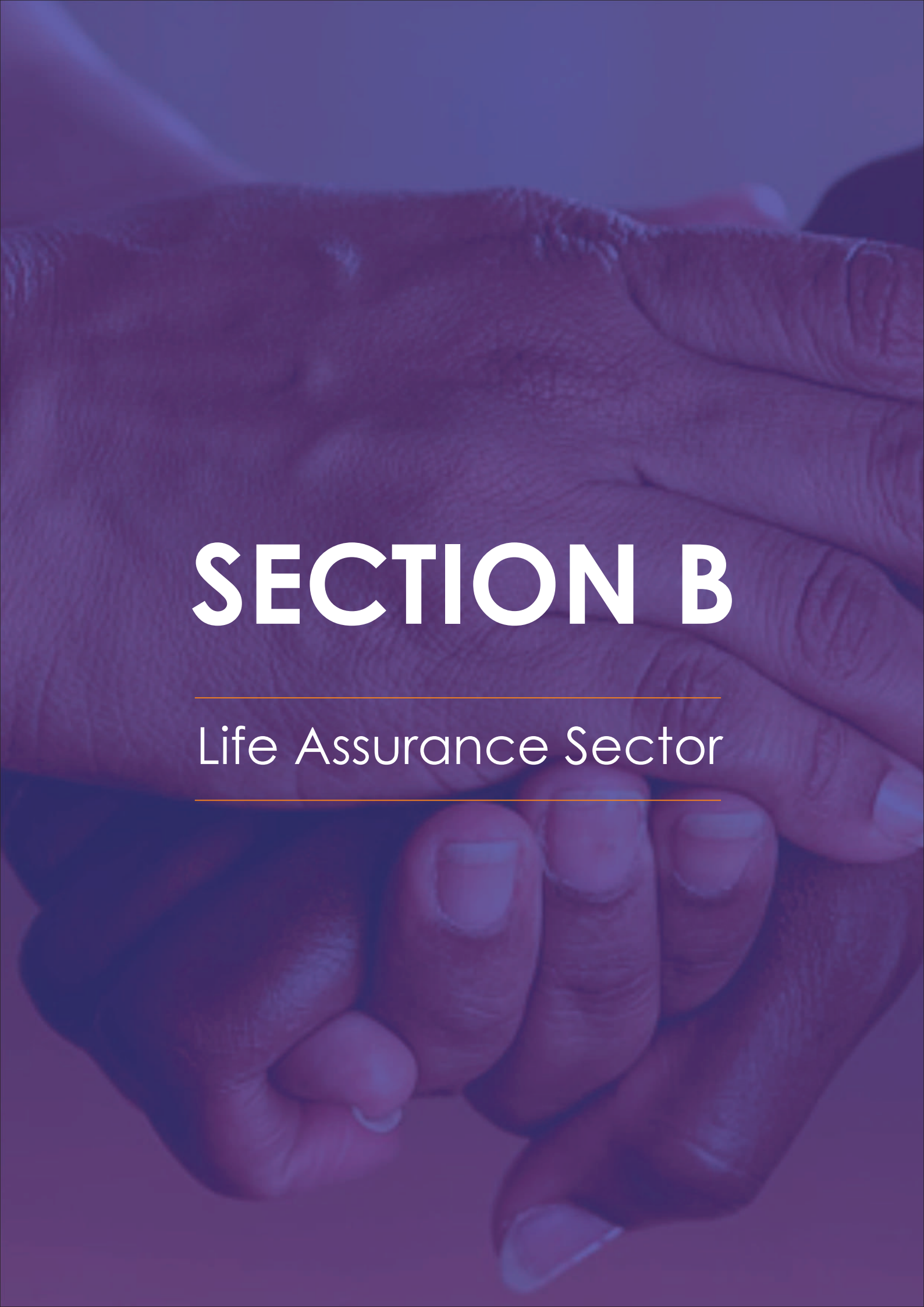
Since the bourse was launched on the 23rd of October 2020, Seedco International is still the only counter listed on the Victoria Falls Stock Exchange. There were no trades on the Victoria Falls Stock Exchange (VFEX) in January and February of 2021. There were US\$2,686 worth of trades in Seedco International on the Victoria Falls Stock Exchange (VFEX) in March 2021 resulting in Seedco International's share price going up by 11.1% to US\$0.2.

3.8 Money Market Developments

Savings and Deposit Interest Rates

Real interest rates remained negative during the quarter under review, following the high annual inflation rate, which ended the quarter at 240.6% against nominal interest below 20%.

The annual nominal savings deposit rates registered declines in the quarter from maximum of 4.69% as at 29 January 2021 to 4.04% as at 26 March 2021, translating to an end of quarter real return of -69%. Marginal improvements were however, recorded in the One-month and Three-month nominal deposit rates in the quarter. One-month nominal deposit rates improved from a maximum of 9.55% end of December 2020 to 10.83% at 26 March 2021, resulting in a negative real return of 67%. The three-month nominal deposit rates increased slightly from a maximum of 11.15% end of January to 11.80% end of March, resulting in a real return of -67% at the end of the quarter.



SECTION B

Life Assurance Sector

4. Regulatory Developments for the Period Ending 31 March 2021

Circulars and Statutory Instruments

4.1 The Commission issued two Statutory Instruments and 8 Circulars to the insurance industry.

Statutory Instruments and Circulars issued

Statutory Instruments issued

Statutory Instrument 85 of 2021 – Revision of fees payable

Statutory Instrument 86 of 2021 - Revision of levies payable

Circulars issued

Circular 1 of 2021 - Provision of necessary services during lockdown.

Circular 2 of 2021 - Delivery of electronic mail to IPEC

Circular 3 of 2021 - Request of information on foreign currency

Denominated business

Circular 4 of 2021 - Request for currency reforms compensation frameworks proposals.

Circular 5 of 2021 - 2021 Global Money Week Commemorations

Circular 8 of 2021 - Issuance of the treating customers fairly framework

Circular 8 of 2021 - Submission of monthly management accounts by Funeral assurers to the Commission

Circular 10 of 2021-Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.

Capacitation of the industry

- 4.2 In an effort to capacitate the insurance industry, a workshop was held from 13 to 14 January 2021 to train relevant personnel on E filing of returns. This was meant to ensure that going forward all quarterly returns are filed online.
- 4.3 A workshop was also conducted on the launch of Own Risk and Solvency Assessment (ORSA) framework on 15 March 2021, which is one of the important frameworks under the Zimbabwe Integrated Capital and Risk Program (ZICARP)

International engagements

- 4.4 The Commission actively participated in activities of regional and international bodies such as the International Association of Insurance Supervisors. These include participation in surveys, meetings, workshops and training. The Commission also participated in workshops and trainings offered by Toronto centre

Industry Architecture

- 4.5 As at 31 March 2021, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1, 332 agents.
- 4.6 The number of agents for the life assurance sector decreased by 87 agents from 1419 reported as at 31 March 2020 to 1332 reported as at 31 March 2021.
- 4.7 The decrease in the number of agents was mainly attributable to withdrawal of some licences by insurers as well as voluntary resignations of some agents.
- 4.8 Agents in the life assurance sector can further be disaggregated into 24 corporate agents and 1,308 individual agents.

Table 4: Life Insurers' Agents' Statistics as at 31 March 2021

Company Name	Corp. Agents: Fully Registered	Indi. Agents: Fully Registered	Indi. Agents: Provisionally Licensed	Total
Evolution	0	0	0	0
Old Mutual	13	158	0	171
First Mutual	0	128	82	210
Zimnat	0	196	9	205
Nyaradzo	7	301	1	309
Fidelity	0	3	43	46
CBZ	3	25	5	33
Econet	0	0	0	0
ZB	0	110	28	138
Nhaka	1	7	9	17
Heritage	0	1	10	11
Doves	0	192	0	192
Total	24	1,121	187	1,332

5. Performance by Gross Written Premium

- 5.1 For the quarter ended 31 March 2021, Gross Premium Written (GPW) by direct life assurers grew by 492% in nominal terms from ZW\$577.68 million reported for the quarter ended 31 March 2020 to ZW\$3.42 billion.
- 5.2 Growth in GPW was mainly attributable to significant increase in premiums from funeral assurance and group life assurance business. The increase in premiums in these classes may be attributable to premiums tracking inflation and an increase in the uptake of these products on the back of the Covid-19 pandemic.
- 5.3 Based on inflation-adjusted figures, the growth in GPW was above the year-on-year inflation of 241% as the industry recorded inflation-adjusted growth of 74% for the quarter ended 31 March 2021 as compared to the quarter ended 31 March 2020.
- 5.4 The Commission continues to encourage players to leverage on modern technology to develop both new innovative products that are relevant to their clients' needs and new distribution channels that enable access by the marginalised sectors of the economy.
- 5.5 This is particularly important with the continued uncertainty on the containment of the Covid-19 pandemic.

- 5.6 In terms of the source of business, the life assurance sector's GPW was skewed towards recurring business, which accounted for 97% of total business written, while new business accounted for the remaining 3% during the quarter ended 31 March 2021.
- 5.7 The increase in business written by the sector also means that technical liabilities of the sector should accordingly increase in tandem with increased business. The Commission, therefore, encourages players to continuously review their reserving methods, to ensure the adequacy of technical liabilities at all times.
- 5.8 Players should maintain prudent asset liability matches on their balance sheets.

Table 5: GPW breakdown by player

Company Name	Q1 2021 Total Premium (ZWL\$000)	2021 Q1 (Inflation adjusted ZWL\$000)	Q1 2020 Total Premium (ZWL\$000)	<i>inflation adjustment growth</i>	<i>Nominal Growth (%)</i>
Evolution	6,730	1,974	736	168%	814%
Old Mutual	179,669	52,689	190,535	-72%	-6%
First Mutual	209,774	61,517	33,398	84%	528%
Zimnat	133,475	39,142	32,255	21%	314%
Nyaradzo	2,023,854	593,506	203,346	192%	895%
Fidelity	65,480	19,202	7,489	156%	774%
CBZ	22,613	6,631	11,259	-41%	101%
Econet	277,966	81,515	48,221	69%	476%
ZB	70,562	20,693	9,951	108%	609%
Nhaka	4,886	1,433	752	91%	550%
Heritage	1,152	338	235	44%	390%
Doves	424,091	124,367	39,504	215%	974%
Total/ Average	3,420,252	1,003,006	577,681	74%	492%

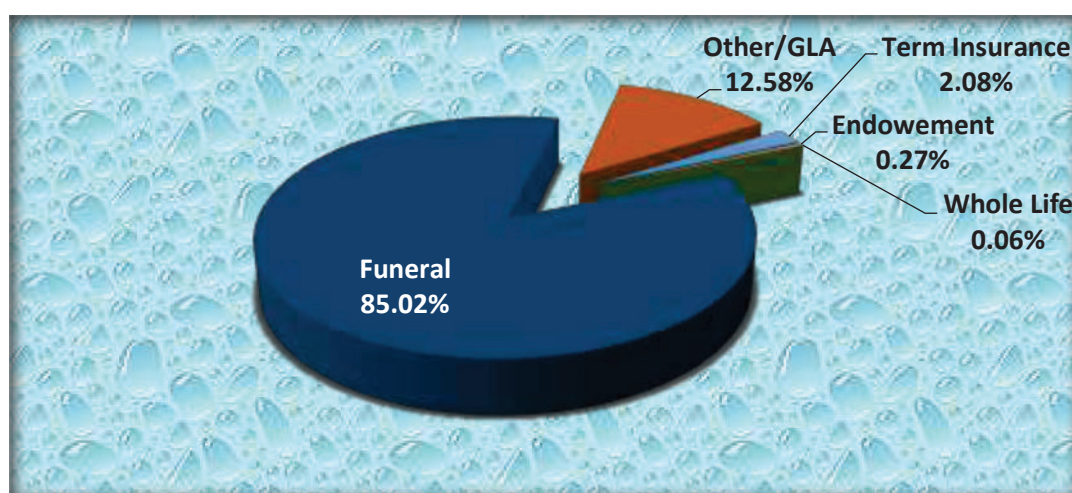
Breakdown of GPW by product

- 5.9 Funeral assurance products have remained popular over life assurance products in the Zimbabwean insurance markets due to the products' defined benefit promise given the persistent hyperinflationary environment.

5.10 Thus, funeral assurance products continued to dominate life assurance product lines contributing 85.02% of the total Gross Premium Written for the quarter ended 31 March 2021.

5.11 There is need for life assurance players to be innovative in the development of term assurance, endowment and whole life products to match policyholder needs in the wake of the dynamic macroeconomic environment and evolving policyholder needs, to remain relevant.

Figure 5: Breakdown GPW by product



Not Taken Up Policies

5.12 As at 31 March 2021, the life assurance sector reported a total of 104,678 not taken up (NTU) policies with a total gross premium of ZW\$90.33 million, up from 5, 826 policies in the comparative period in 2020.

5.13 For the quarter, ended 31 March 2021 premiums lost on not taken up (NTU) policies constituted 2.64% of total GPW for the quarter.

5.14 The increase in not taken up policies is attributed to the negative effects of the Covid-19 induced lockdown and restrictions as some policyholders most likely faced challenges to honour their premium payments.

5.15 The Not taken up policies may also be attributable to improperly trained sales staff mis-selling the products.

Table 6: Not Taken-Up Policies

Company Name	Total number Of Policies	Total sum Gross Premium
Evolution	0	0
Old Mutual	226	65,389,499
First Mutual	12	4,853
Zimnat	2,558	1,125,760
Nyaradzo	0	0
Fidelity	51	114,563
CBZ	1,776	2,423,416
Econet	99,650	21,175,625
ZB	355	82,737
Nhaka	0	0
Heritage	50	9,008
Doves	0	0
Total	104,678	90,325,461

Lapsed policies

5.16 For the quarter ended 31 March 2021, the life assurance sector had a total of 1.98 million lapsable policies, out of which 177, 228 policies lapsed, translating into a lapse ratio of 10.10%.

5.17 The lapse ratio of 10.10% compares unfavourably to the lapse ratio of 3.57% recorded for the comparative period ending 31 March 2020.

5.18 However, the abnormally high lapse ratio of 10.10% maybe attributable to a general decline in the disposable incomes because of Covid 19 induced lockdowns and restrictions.

Table 7: Lapsed policies

Company Name	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporate)	Lapsed Policies (Others)	Lapse Ratio
Evolution	-	-	-	-	
Old Mutual	84,984	3,988	-	-	5%
First Mutual	141,870	15,886	11,775	-	19.50%
Zimnat	64,915	5,816	-	-	8.96%
Nyaradzo	543,037	32,023	11,234	-	7.97%
Fidelity	77	12	-	-	15.58%
CBZ	56,234	6,682	-	-	11.88%
Econet	1,068,571	112,012	-	-	10.48%
ZB	17,733	450	-	-	2.54%
Nhaka	2,289	337	56	-	17.17%
Heritage	2,411	22	-	-	0.91%
Doves	-	-	-	-	
Totals	1,982,121	177,228	23,065	-	10.10%

6. Capitalisation

- 6.1 As at 31 March 2021, eleven (11) out of twelve (12) primary life assurers reported capital positions that were compliant with the MCR of ZW\$75 million (see table below).
- 6.2 The Commission will continue to monitor the non-compliant entity, which has already been directed to develop capitalisation compliance roadmap in order to ensure compliance in the shortest possible time.
- 6.3 The Commission urges players to carry out capital self-assessments every month as required by Statutory Instrument 95 of 2017.

Table 8: Capital positions of sector players

Company Name	2020 Q1	2021 Q1
Evolution	40,362	345,371
Old Mutual	1,751,768	13,084,981
First Mutual	202,044	1,893,490
Zimnat	121,512	565,423
Nyaradzo	837,554	2,945,435
Fidelity	179,691	1,168,175
CBZ	146,367	389,255
Econet	125,898	729,611
ZB	300,623	1,904,075
Nhaka	23,468	100,471
Heritage	744	753
Doves	240,952	1,139,808
Total	3,970,983	24,266,848

- 6.4 The life assurance sector players are encouraged to maintain adequate capital to ensure protection of policyholder funds in times of high claims experience. Adequate capitalisation also helps to cushion the industry against exogenous business shocks, such as an increased claims experience from pandemics such as Covid-19.
- 6.5 The Commission is now finalising the development of a robust capital framework for the insurance industry - Zimbabwe Integrated Capital and Risk Programme (ZICARP) set to be implemented before the end of the second quarter.

7. Asset Quality

- 7.1 As at 31 March 2021, the Life Assurance sector reported total assets amounting to ZW\$48.2 billion, representing an increase of 47.85% from ZW\$32.6 billion reported for the sector as at 31 December 2020.
- 7.2 The increase in the asset base of the Life Assurance sector was mainly driven by asset revaluations and an increase in the equities held by the life assurance sector.
- 7.3 As at 31 March 2021, fixed properties and equities constituted 64.1% of the total assets for life assurers.

7.4 The Commission continues to encourage players to maintain assets that match their liability profiles to facilitate settlement of claims as they fall due.

Prescribed Assets

7.5 As at 31 March 2021, all life assurance players were non-compliant with the minimum prescribed asset requirement of 15%.

7.6 The total investments in prescribed assets by the life assurance sector amounted to ZW\$148.59 million translating to an industry average compliance ratio of 0.31% (See table below).

7.7 The Commission in consultation with the industry players constituted a Working Group to explore ways of ensuring compliance of the insurance and pensions industry with prescribed requirements, whilst at the same time ensuring the sustainability of this class of assets given the loss of value experienced in the past.

7.8 The Commission` expects the sector to take advantage of the working group platform to proffer classes of assets that will help the industry to comply.

Table 9: Prescribed Asset Status

Company Name	Prescribed Asset Invest	Total Assets	Prescribed Asset Ratio(%)	Amount Required to be Compliant	Variance in Compliance
Evolution	0	347,645,126	0.00%	52,146,769	-15.0%
Old Mutual	37,173	17,500,810,944	0.00%	2,625,121,642	-15.0%
First Mutual	65,800	7,595,223,178	0.00%	1,139,283,477	-15.0%
Zimnat	127,840,090	3,394,717,491	3.77%	509,207,624	-11.2%
Nyaradzo	0	8,093,368,047	0.00%	1,214,005,207	-15.0%
Fidelity	50,268	4,685,214,189	0.00%	702,782,128	-15.0%
CBZ	20,424,016	638,421,476	3.20%	95,763,221	-11.8%
Econet	0	1,118,205,184	0.00%	167,730,778	-15.0%
ZB	30,037	3,434,621,055	0.00%	515,193,158	-15.0%
Nhaka	147,190	129,415,016	0.11%	19,412,252	-14.9%
Heritage	0	4,467,383	0.00%	670,107	-15.0%
Doves	0	1,257,852,554	0.00%	188,677,883	-15.0%
	148,594,574	48,199,961,643	0.31%	7,229,994,246	-14.7%

8. Reassurance

8.1 The funeral assurance business, which the sector players usually retain in whole, continues to dominate in terms of GPW for direct life assurers.

- 8.2 Of the ZW\$3.42 billion written by the life assurance sector for the quarter ended 31 March 2021, premiums amounting to ZW\$60.41 million were ceded to reinsurers, translating to a reinsurance ratio of 1.77%.
- 8.3 To protect their balance sheets from financial stress owing to high claims experience, the Commission continues to urge players to consider increasing their reinsurance arrangements.

9. Earnings

- 9.1 For the quarter ended 31 March 2021, profit after tax for life insurers decreased by 19.31% from ZW\$6.37 billion reported for the quarter ended 31 March 2020 to ZW\$5.14 billion.
- 9.2 The main driver of the decrease in profit was a decrease in fair value adjustments of investments and other income for the quarter ended 31 March 2021 as compared to the quarter ended 31 March 2020.
- 9.3 The combined ratio for the life assurance sector decreased from 75% for the quarter ended 31 March 2020 to 71.82% for the comparable period in 2021, an indication of a positive improvement on profitability.
- 9.4 However, significant transfers to technical liabilities, which amounted to ZW\$1.48 billion translating to 32.32% of the GWP resulted in a negative underwriting profit of ZW\$769.76 million for the quarter ended 31 March 2021.
- 9.5 In nominal terms, the underwriting profit for the sector decreased by 808% from ZW\$104.76 million reported as at 31 March 2020 to an underwriting loss of ZW\$741.27 million as at 31 March 2021.

10. Liquidity

- 10.1 As at 31 March 2021, the life assurance industry reported total current assets amounting to ZW\$3.25 billion as compared to ZW\$3.84 billion reported as at 31 December 2020.
- 10.2 Current liabilities amounted to ZW\$3.49 billion for the quarter ended 31 March 2021 up from ZW\$552.4 million reported as at 31 December 2020.

10.3 The life assurance sector's average current ratio was 93.12% as at 31 March 2021 indicating inadequate liquidity to cover short-term contractual obligations.

10.4 Life assurers are therefore encouraged to hold enough liquid assets to pay-off their current liabilities as and when they fall due.

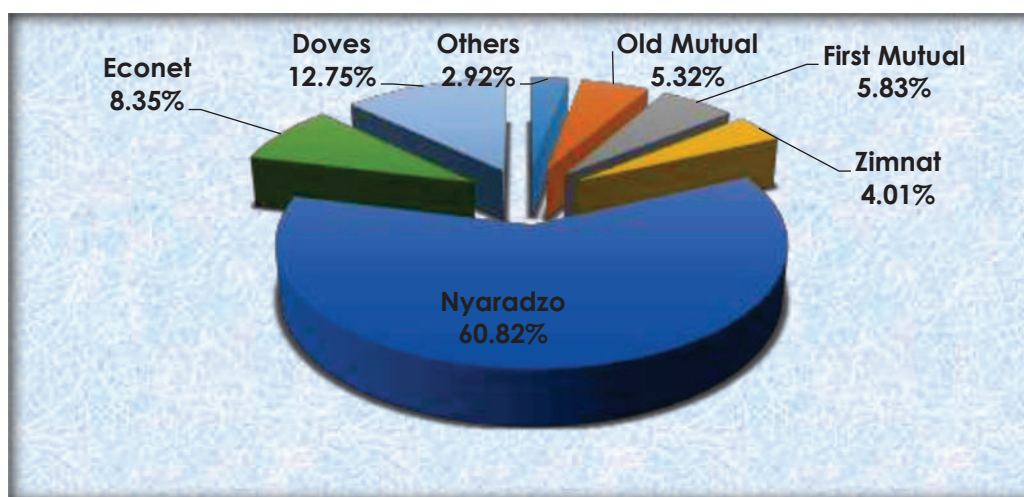
11. Market share

11.1 For the quarter ended 31 March 2021, one (1) player continued to dominate the life assurance sector in terms of GPW with a total market share of 60.82% while the remaining players shared the remaining 39.18%.

11.2 The player's strong dominance in funeral assurance products led to its dominance in market share for the sector.

11.3 Figure 6 below shows the market share distribution for the life assurance sector in terms of GPW.

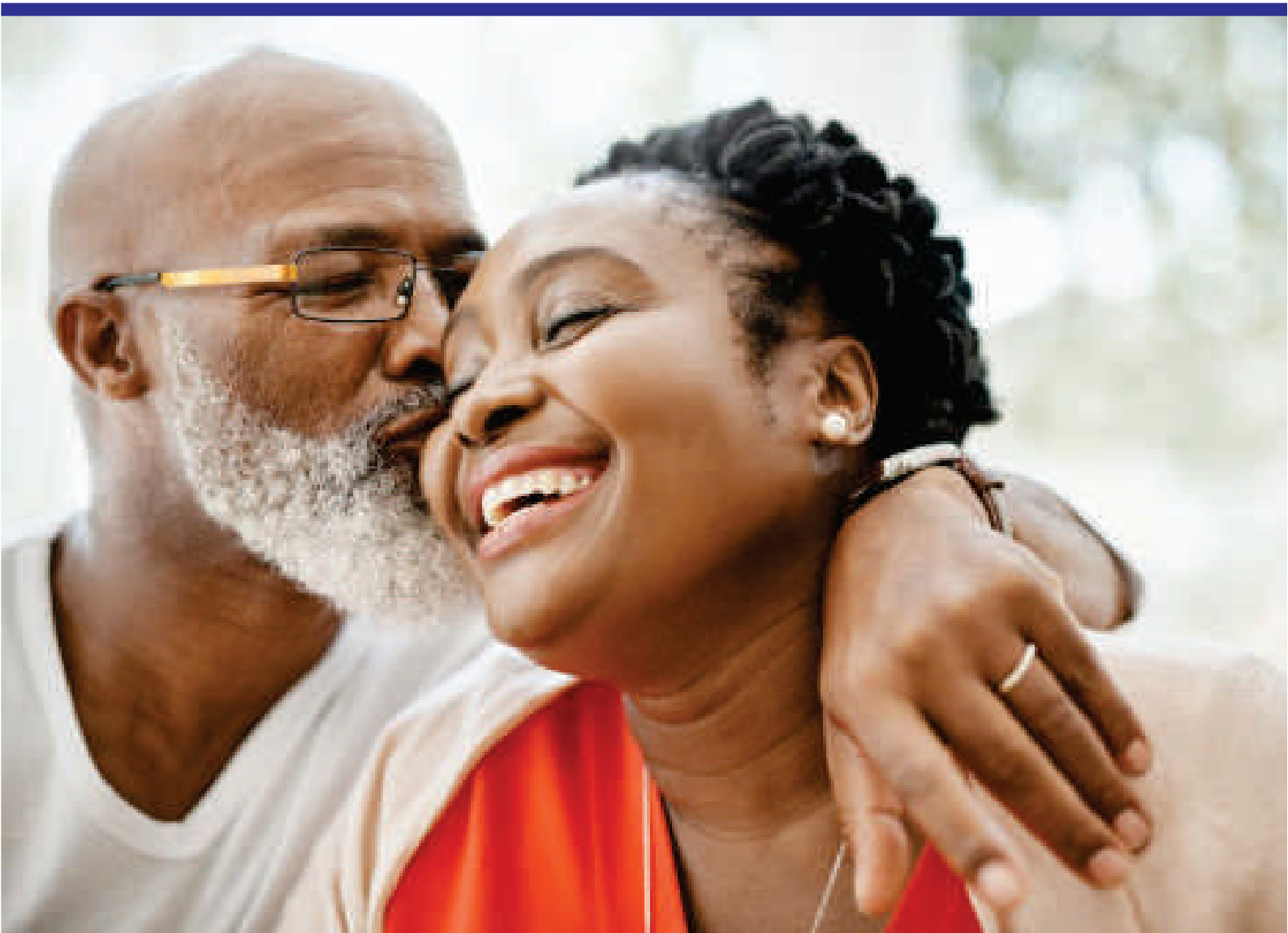
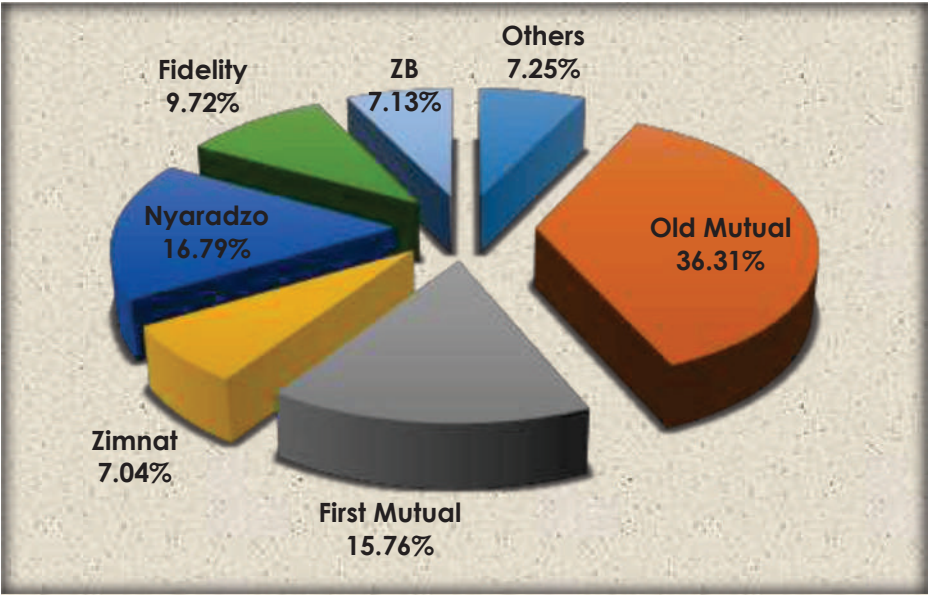
Figure 6: Market share by GPW



**Others comprises Evolution, Fidelity, CBZ, ZB, Nhaka and Heritage*

11.4 In terms of market share by assets, two players continued to dominate the sector, with a combined market share of 53.10% of total assets, while other players shared the remaining 46.90%. Figure 7 below shows the distribution of assets by entity.

Figure 7: Market Share in terms of Total Assets





SECTION C

Reassurance Sector

Nature of reinsurance business

While all reinsurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions, which comprise both life and non-life business.

The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office. Zep Reinsurance Company's Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

12. Performance in terms of business written

- 12.1 The volume of life reinsurance business written, in terms of Gross Premium Written (GPW), increased by 465% from ZW\$11.3 million reported for the quarter ended 31 March 2020 to ZW\$ 64.1 million for the quarter ended 31 March 2021.
- 12.2 After adjusting for inflation, the sector experienced a positive growth of 63.26% from ZW\$11.3 million as at 31 March 2020 to inflation-adjusted GPW of ZW\$18.08 million as at 31 March 2021.
- 12.3 The growth in GPW is attributable to an increase in premiums of insurance in response to increases in inflation.

Table 10: Breakdown of GPW for Reassurers

Company Name	GPW 2020 Q1	GPW 2021 Q1	2021 Q1 (Inflation adjusted ZWL\$000)	Real Growth after inflation adjustment	Nominal Growth (%)
Emeritus Re	5,959	37,370	10,959	84%	527%
FBC Re	3149	13296	3,899	24%	322%
FM Re	1691	8350	2,449	45%	394%
Zep Re	555	5120	1,501	171%	823%
Total	11,354	64,136	18,808	66%	465%

13. Capitalisation

- 13.1 As at 31 March 2021, all four (4) composite reassurers reported capital positions that were compliant with the minimum capital requirement of ZW\$112.5 million.
- 13.2 The Commission commends the reinsurance sector players for their compliance with the minimum capital requirements.
- 13.3 Adequate capitalisation is important for reassurers as it ensures a strong sector that can adequately support the direct life assurance sector.
- 13.4 Reinsurance sector players are urged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

Table 11: Trend in the Capital Position for Composite Reassurers

Company	Mar-20	Jun-20	Sep-20	Dec-20	Mar-21
Emeritus Re	90,491	57,225	75,899	266,064	228,130
FBC Re	133,066	387,769	416,623	485,496	632,600
FM Re	54,514	28,080	50,318	254,569	319,170
Zep Re**	241,852	14,649	12,473	709,387	774,841
Total	519,923	487,723	555,313	1,715,516	1,954,741

**Please note, the capital positions above comprise of both life and non-life reinsurance business (Composite Reassurance Business).*

14. Asset quality

- 14.1 As at 31 March 2021, total assets for the life reassurers sector increased by 45.53% from ZW\$1.3 billion reported as at 31 December 2020 to ZW\$1.89 billion. The growth in the asset base of the reassurers was mainly driven by asset revaluations and increases in deferred tax assets, accounts receivables and deferred acquisition costs. Equity investments constituted 12% of the sector's assets. Sector players should ensure that they hold assets that match their liability maturity profile to eliminate funding gaps, which may be costly in terms of both asset liquidation costs and reputation.

Prescribed assets

- 14.5 For the quarter ended 31 March 2021, three (3) of the four (4) life reinsurance players reported prescribed asset ratios that were below the minimum required threshold of 15%.

14.6 Total investments in prescribed assets by the life reinsurance sector amounted to ZW\$36.6 million, translating to a compliance ratio of 9,06%.

Table 12: Prescribed assets ratios for sector players

Company Name	Prescribed Asset Invest	Total Assets	Prescribed Asset Ratio (%)	Amount Required to be Compliant	Variance in Compliance
First Mutual Re	10,313.42	117,692,397.00	0.01%	17,653,860	-0.15
Emeritus Reinsurance	0.00	235,186,599.00	0.00%	35,277,990	-0.15
FBC Reinsurance	6,081,374.31	20,160,356.87	30.17%	3,024,054	0.15
ZEP RE-Insurance	0.00	30,473,432.11	0.00%	4,571,015	-0.15
Total/ Average	36,565,119.84	403,512,784.98	9.06%	60,526,918	-5.94

15. Earnings

- 15.1 As at 31 March 2021, the life reinsurance sector's profit after tax increased by 414% from ZW\$25.46 million reported as at 31 March 2020 to ZW\$130.78 million reported in the current reporting period.
- 15.2 In real terms, profit after tax for the life reinsurers increased by 51% to ZW\$38.35 million reported as at 31 March 2021.
- 15.3 The increase in profit after tax is mainly attributable to significant increases in fair value adjustments and other investment incomes.
- 15.4 In tandem with developments in the direct life business, the reinsurance sector recorded an underwriting loss of ZW\$14.75 million. The underwriting loss was mainly driven by high claims costs.
- 15.5 As at 31 March 2021, the life reinsurance sector reported an average combined ratio of 130%, which was beyond the expectation of the Commission.
- 15.6 However, the Commission encourages all the players to streamline their costs structures to improve their combined ratios.

16. Liquidity

- 16.1 For the quarter ended 31 March 2021, the life reinsurance sector reported current assets amounting to ZW\$936.3 million as compared to ZW\$641.3 million reported as at 31 December 2020.
- 16.2 Current liabilities as at 31 March 2021 for the sector amounted to ZW\$835.23 million translating to working capital of ZW\$101.1 million.

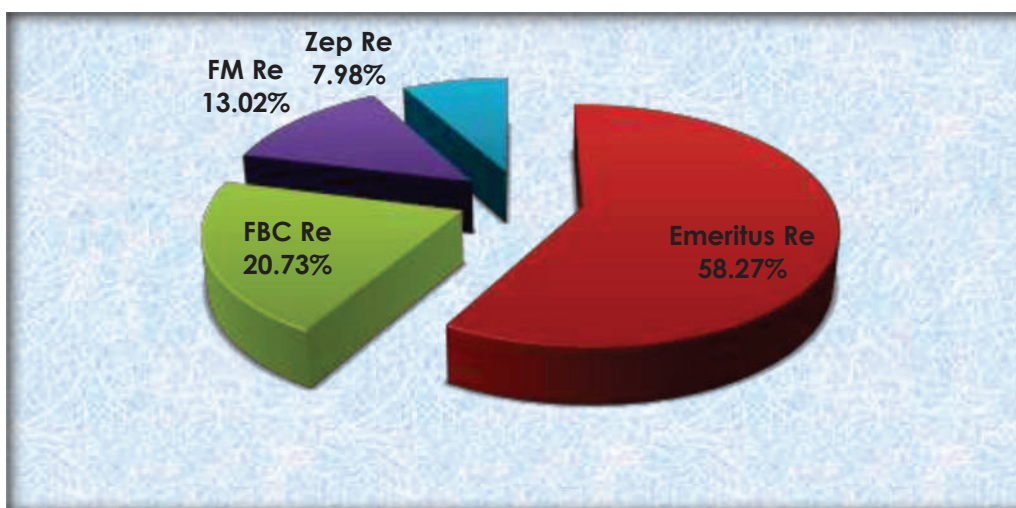
- 16.3 The life reinsurance sector's average current ratio was 112% as at 31 March 2021. This is not sufficient liquidity, considering that the Industry has a high claims ratio and high combined ratio. In addition, the liquidity may not be enough to cover short-term contractual obligations as they fall due.
- 16.4 The Commission urges the reinsurance sector to hold enough current assets to cover its current liabilities.

17. Market share

Market share in terms of GPW

- 17.1 For the quarter ended 31 March 2021, GPW for the life reinsurance sector was mainly concentrated on one (1) player, controlling a market share of 58.27%.
- 17.2 The remaining three (3) players controlled the remaining 41.73% of the market share.
- 17.3 The breakdown of the market share for sector players in terms of GPW is shown in figure below.

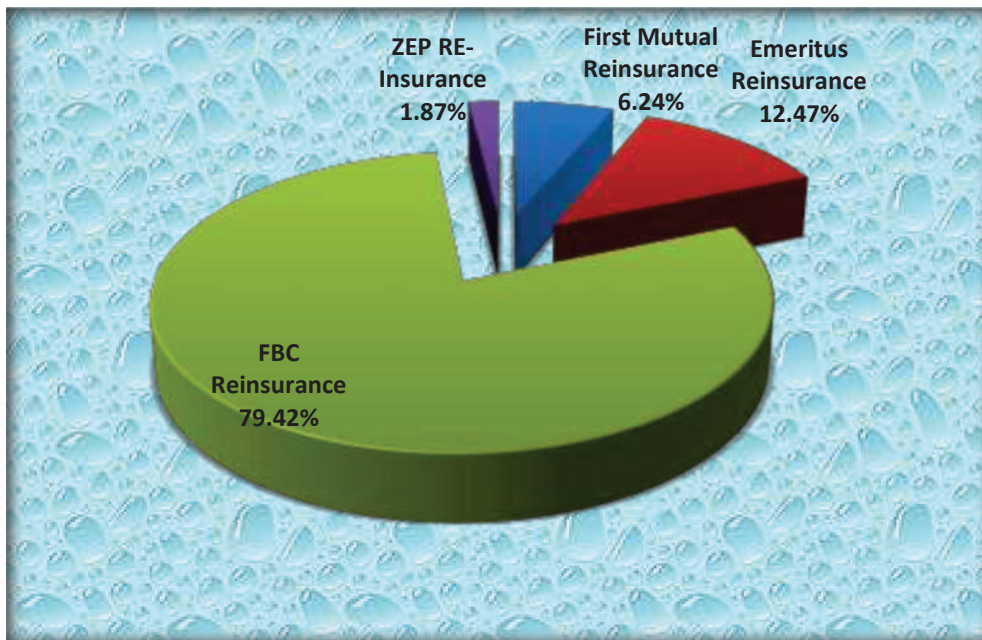
Figure 8: Market share by GPW

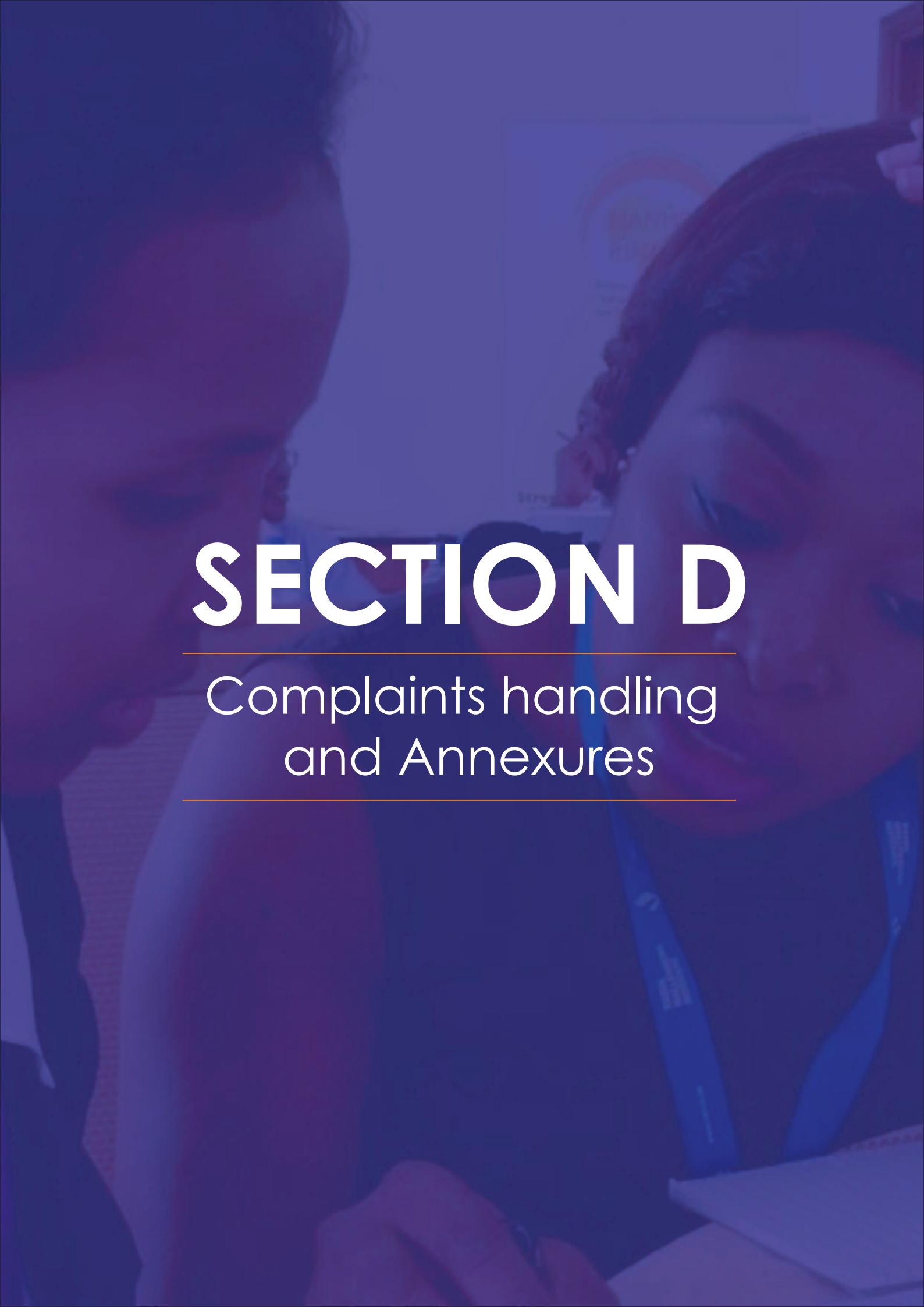


Market share in terms of assets

- 17.4 For the quarter ended 31 March 2021, one (1) player controlled 79.42% of total assets, while the remaining 3 players accounted 20.58% of the sector total assets.
- 17.5 Breakdown of sector assets by players is shown in figure below.

Figure 9 Market share by GPW





SECTION D

Complaints handling and Annexures

18. Life Assurance complaints handled

18.1 During the quarter under review, the Commission handled 15 complaints, 12 of which were resolved whilst three (3) were still outstanding.

18.2 The majority of the complaints were related to funeral policies offered by life assurers.

18.3 The table below depicts the nature of complaints handled during the quarter-ending 31 March 2021.

Table 13: Life Assurance Complaints handled

Nature of complaints	Number of complaints
Low value pay-outs in terms of benefits	10
Non-payment of benefits	3
Late payment of benefits	2
Total	15

18.4 As shown in the table above, the major source of complaints related to low benefit pay outs, particularly on funeral-related policies owing to inflation.

18.5 Non-payment of benefits and delay in benefit payments were the other complaints handled. Non-payment of benefits was due to assurers repudiating the claims as a result of policy lapses. However, in some cases, funeral assurers ended up settling the claims ex-gratia.

18.6 The Commission continues to urge life assurers to continuously sensitise their customers about the need to regularly pay their premiums to avoid unintended policy lapses.

Annexure 1: Life Assurers Statement of Comprehensive Income for the quarter ended 31 March 2021

	Evolution	Old_Mutual	First_Mutual	Zimnat	Nyaradzo	Fidelity	CBZ	Econet	ZB	Nhaka	Heritage	Doves	Total
Gross Premium Written	6,729,789	179,668,709	209,773,626	133,474,837	2,023,853,992	65,480,439	22,613,244	277,966,116	70,562,252	4,885,570	1,152,455	424,091,116	3,420,252,145
Outward Reassurance Premium	981	13,846,164	-	14,684,990	-	14,432,184	1,152,533	8,478,146	7,647,031	140,975	22,662	-	60,405,666
Net Premium Written	6,728,808	165,822,545	209,773,626	118,789,847	2,023,853,992	51,048,254	21,460,711	269,487,970	62,915,221	4,744,595	1,129,794	424,091,116	3,359,846,478
Unearned Premiums	-	249,803	-	16,632,837	-	-	723,843	-	-	-	1,028	-	17,607,511
Net Earned Premium	6,728,808	165,572,741	209,773,626	102,157,010	2,023,853,992	51,048,254	20,736,867	269,487,970	62,915,221	4,744,595	1,128,766	424,091,116	3,342,238,967
Claims Paid	865,891	86,520,965	98,711,710	73,456,272	648,972,352	7,401,194	5,422,631	208,812,227	22,332,468	816,126	214,493	107,255,613	1,260,781,940
Claims Outstanding	19,150	-	-	-	-	-	240,486	2,295,820	-	-	-	-	2,555,457
Claims Incurred But Not Reported	336,539	22,891,730	-	-	-	-	-	16,197,227	-	-	-	-	39,425,496
Change in provision for investment	-	454,227,918	(351,590,020)	-	-	-	-	-	-	-	-	42,409,112	145,047,010
Change in provision for insurance	-	312,725,985	(39,561,415)	-	-	10,492,347	-	-	-	-	-	-	283,656,916
Transfer to Policyholder Funds	-	-	-	-	619,672,282	-	-	-	-	-	-	-	619,672,282
Net Claims	885,041	86,520,965	98,711,710	73,456,272	648,972,352	7,401,194	5,663,117	211,108,047	22,332,468	816,126	214,493	107,255,613	1,263,337,397
Management Expenses	-	71,687,091	-	27,419,759	410,890,772	23,523,496	-	-	69,064,411	1,878,799	1,772,952	117,697,181	723,934,460
Net Fees and Commission Paid	1,613,236	-	4,430,622	12,071,082	125,190,287	4,701,784	2,904,072	-	-	230,687	176,061	25,337,246	176,655,078
Underwriting Profit/(Loss)	3,893,992	(782,480,947)	106,631,295	(479,904,598)	219,128,299	4,929,433	12,169,678	42,182,696	(28,481,658)	1,818,984	(1,034,740)	131,391,964	(769,755,602)
Fair value adjustments (positive)	-	5,107,585,382	8,821,929	457,500,239	-	41,580,598	50,646,847	270,732,572	81,808,433	18,777,167	-	-	6,037,453,167
Dividend income	-	135,919	18,155,006	-	607,484	377,002	37,133	1,518,845	1,105,874	-	-	-	21,937,263
Rental income	-	485,560	-	17,446,153	249,136	1,506,302	1,350,650	1,039,291	2,784,491	474,384	-	3,295,570	28,631,538
Other Income	-	271,690	-	51,215,191	3,091,796	592,000	28,865,452	47,423,534	-	2,327,930	-	937,921	134,725,514
Other Income2	-	-	-	1,627,997	129,524,751	316,799	(74,572)	684,769	4,153,791	(4,186,697)	-	(52,711)	131,994,127
Other Income3	-	-	-	18,626,279	-	-	-	-	-	541,246	-	-	19,167,525
Other Income4	-	-	-	-	-	6,675,958	-	-	1,630,471	-	-	-	8,306,429
Other Income5	-	-	-	-	-	1,071,164	-	-	-	-	-	-	1,071,164
Administrative Expenses	2,880,622	33,896,676	(99,463,252)	53,330,846	73,529,029	(55,286,862)	36,132,500	141,701,954	53,015,327	9,487,764	-	-	249,224,604
Fair value adjustments (negative)	-	-	125,674,435	-	-	-	-	-	-	-	-	-	125,674,435
Other Expenses1	1,380,828	17,547,487	-	-	-	(912,947)	6,411,953	5,249,827	16,049,084	-	-	-	45,726,231
Other Expenses2	-	-	-	-	-	(3,394,634)	-	461,558	-	-	-	-	(2,933,076)
Other Expenses3	-	-	-	-	-	(2,228,461)	-	-	-	-	-	-	(2,228,461)
Other Expenses5	-	-	-	-	-	(497,155)	-	-	-	-	-	-	(497,155)
Earnings Before Interest and Taxation	(367,458)	4,274,553,441	107,397,046	13,180,416	279,072,438	119,369,317	50,450,736	216,168,367	(6,063,009)	10,265,250	(1,034,740)	135,572,744	5,198,564,548
Interest	-	-	1,527,247	-	6,493,544	2,429,601	51,901	287,173	1,318,209	336	-	-	12,108,010
Interest expense	-	-	(210,116)	3,667	-	(55,629)	12,263	3,025,356	-	-	-	-	2,775,542
Earnings Before Tax	(367,458)	4,274,553,441	109,134,409	13,176,749	285,565,983	121,854,546	50,490,373	213,430,184	(4,744,801)	10,265,586	(1,034,740)	135,572,744	5,207,897,015
Taxation	-	-	(68,684)	5,974,616	70,677,581	(456,634)	78,176	-	1,464,373	-	-	-	77,669,427
Earnings After Tax	(367,458)	4,274,553,441	109,203,093	7,202,133	214,888,402	122,311,180	50,412,197	213,430,184	(3,280,428)	10,265,586	(1,034,740)	135,572,744	5,133,156,334
Other Comprehensive Income	-	-	-	-	-	13,818,886	-	-	-	-	-	-	13,818,886
Total Comprehensive Profit/(Loss) for the Period	(367,458)	4,274,553,441	109,203,093	7,202,133	214,888,402	122,311,180	50,412,197	213,430,184	(3,280,428)	10,265,586	(1,034,740)	135,572,744	5,133,156,334
Total Comprehensive Profit/(Loss) Attributable to Shareholders	(367,458)	4,274,553,441	109,203,093	7,202,133	214,888,402	122,311,180	50,412,197	213,430,184	(3,280,428)	10,265,586	(1,034,740)	135,572,744	5,133,156,334

Annexure 2: Life Assurers Statement of Financial Position as at 31 March 2021

	Evolution	Old_Mutual	First_Mutual	Zimnat	Nyaradzo	Fidelity	CBZ	Econet	ZB	Nhaka	Heritage	Doves	Totals
Non-Current Assets													
Intangible Assets	6,000	-	-	81,510	-	18,403,534	-	-	121,647,042	-	-	-	140,138,086
Property and Equipment	14,261,405	50,453,386	-	6,208,705	5,938,348,455	276,845,524	100,746,669	26,607,641	52,310,670	893,427	25,620	121,311,546	6,588,013,048
Investment Property	125,104,055	1,446,062,481	34,061,049	1,475,720,100	370,490,502	858,212,066	313,583,598	179,112,654	208,249,228	48,078,657	3,506,250	884,931,000	5,947,111,639
Investments: Quoted equities	-	15,026,625,904	1,718,476,172	1,186,993,367	344,005,839	343,353,527	93,993,603	632,666,021	213,212,576	-	1,140,728	10,634,497	19,571,102,236
Unquoted equities	204,897,915	424,764,249	251,623,111	344,841,040	189,241,705	2,850,581,419	55,538,162	59,532,745	307,532,808	31,312,437	-	-	4,719,865,593
Bonds	-	22,545,466	23,193,333	804,604	-	-	-	2,048,780	14,240,209	-	-	-	62,832,392
Deferred tax asset	-	-	-	-	-	6,228	-	-	-	-	4,967	-	11,195
Deferred acquisition costs	-	-	-	-	-	-	2,010,837	-	-	-	-	-	2,010,837
Other Non-Current Assets1	-	-	5,395,962,919	17,719,378	-	-	-	247,343	2,444,850,065	-	-	-	7,858,779,705
Other Non-Current Assets2	-	-	-	46,468,391	-	-	-	-	14,618	-	-	-	46,483,009
Other Non-Current Assets3	-	-	-	0	-	-	-	-	9,223,896	-	-	-	9,223,896
Total Non-Current Assets	344,269,375	16,970,451,487	7,423,316,584	3,078,837,096	6,842,086,502	4,347,402,298	565,872,869	900,215,184	3,371,281,111	80,284,521	4,677,565	1,016,877,043	44,945,571,635
Current Assets													
Premium Receivable	50,150	36,551,407	62,243,047	6,552,556	-	15,342,293	3,474,054	15,207,007	634,206	237,872	(158,896)	-	140,133,697
Money market investments	-	150,687,278	23,811,872	43,917,501	26,505,631	182,609,503	12,416,094	105,582,977	7,108,029	147,190	150,000	-	552,936,074
Short term investments	5,000	-	-	59,875,079	-	-	-	-	-	27,270,570	(531,297)	192,451	86,811,803
Other receivables	-	143,559,713	37,064,039	131,332,255	594,088,963	39,285,349	15,819,559	2,034,939	11,589,280	1,383,279	2,820	283,031	976,443,228
Cash and Bank Balances	2,634,572	199,561,060	15,825,799	55,969,058	283,617,891	98,565,352	40,838,900	73,226,759	44,007,996	17,918,287	327,191	161,637,907	994,130,772
Other Current Assets1	686,029	-	2,047,686	18,233,855	144,640,525	2,008,965	-	3,414,612	-	-	-	34,415,200	205,446,873
Other Current Assets2	-	-	30,913,481	-	202,428,534	-	-	17,513,625	-	2,173,297	-	44,446,921	297,475,858
Other Current Assets3	-	-	-	-	-	-	-	1,010,082	-	-	-	-	1,010,082
Total Current Assets	3,375,752	530,359,457	171,905,924	315,880,305	1,251,281,545	337,811,463	72,548,607	217,990,001	63,339,512	49,130,495	(210,182)	240,975,510	3,254,388,388
Total Assets	347,645,126	17,500,810,944	7,595,222,508	3,394,717,401	8,093,368,048	4,685,213,761	638,421,476	1,118,205,184	3,434,620,623	129,415,016	4,467,383	1,257,852,553	48,199,960,023
Liabilities													
Long (Non-Current) Liabilities													
Long Term Loans	-	-	-	1,119,309	-	16,937,283	-	-	-	16,055,000	-	530,684	34,642,275
Deferred Taxation	68,740	54,524,140	12,643,554	7,217,270	686,172,708	-	-	-	58,136,462	-	-	2,171,216	820,934,091
Future Policyholder Funds	369,944	-	-	-	3,548,950,617	-	-	-	-	115,212	782,111	101,919,651	3,652,137,535
Short (Current) Liabilities													
Outstanding Claims	51,674	74,196,935	-	87,328,758	-	7,851,758	1,509,977	9,660,699	23,463,213	86,940	-	-	204,149,955
Claims Incurred but not Reported	900,226	132,077,202	-	-	-	-	-	44,933,518	-	211,269	-	-	178,122,215
Paid up policies	-	-	-	-	212,906,556	-	-	-	-	-	-	-	212,906,556
Investment contract liabilities	102,211	2,179,935,013	1,108,561,853	-	-	397,468,982	23,406,609	-	-	4,210,757	-	-	3,713,685,425
Insurance contract liabilities	62,250	1,026,814,341	4,349,251,105	9,396,650	-	2,679,283,944	-	61,600,938	-	103,957	-	-	8,126,513,185
Additional Unexpired Risk Reserve	-	-	602,976	-	-	-	-	-	-	-	-	-	602,976
Life Fund	-	-	45,832,737	2,392,639,019	-	-	100,092,904	-	1,344,242,907	-	-	-	3,882,807,567
Unearned Premium Reserve	146,203	23,139,637	-	12,574,828	-	-	-	7,525,931	-	-	-	-	43,386,598
Amounts Due To Reinsurers	434	-	-	-	-	-	-	713,742	2,818,191	23,200	-	-	3,555,567
Other Short Term Liabilities													
Other Liabilities1	572,229	228,841,254	-	24,544,953	699,902,776	5,626,515	113,498	211,003,416	76,365,979	360,653	2,013,177	5,754,170	1,255,098,621
Other Liabilities2	-	10,043,448	28,859,113	292,216,883	-	409,968,435	124,043,198	48,608,216	25,518,859	7,776,593	918,703	7,668,980	955,622,429
Other Liabilities3	-	316,393,116	25,218,161	2,256,936	-	(98,198)	-	1,472,941	-	-	-	-	345,242,956
Other Liabilities4	-	0	10,501,805	-	-	-	-	1,242,289	-	-	-	-	11,744,095
Other Liabilities5	-	51,464,108	120,157,138	-	-	-	-	1,233,914	-	-	-	-	172,855,160
Other Liabilities6	-	318,400,875	104,237	-	-	-	-	598,694	-	-	-	-	319,103,806
Total Liabilities	2,273,910	4,415,830,071	5,701,732,679	2,829,294,606	5,147,932,657	3,517,038,720	249,166,187	388,594,298	1,530,545,611	28,943,581	3,713,991	118,044,701	23,933,111,013
SHARE CAPITAL AND RESERVES													
Share Capital	38	131,844	7,308	200,000	400,000	1,092,059	2	100	231,908	20,000	1,680,000	1,000,000	4,763,259
Share Premium	2,435,318	29,990,000	40,601,899	450,000	-	671,409	1,388,012	5,685,251	4,431,623	4,602,425	-	-	90,255,936
Investment Reserve	-	-	2,014,048	-	-	-	-	-	9,217,529	-	-	-	11,231,577
Revaluation Reserve	310,730,195	-	-	15,186	1,907,053,979	276,506,748	93,490,884	39,353,953	201,053,067	-	-	3,701,303	2,831,905,315
Non Distributable Reserve	-	33,764,276	-	2,463,511	358,109,517	-	-	-	-	-	245,029	-	394,582,333
Retained Earnings - Prior years	32,573,123	7,587,077,362	-	555,091,965	464,983,493	889,914,864	238,779,283	471,141,399	1,689,140,886	85,583,424	(493,898)	1,004,128,227	13,017,920,128
Retained Earnings - Current year	(367,458)	5,434,017,391	1,850,866,573	7,202,133	214,888,402	-	50,412,197	213,430,184	-	10,265,586	(677,739)	130,978,323	7,911,015,592
Other1	-	-	-	-	-	(10,037)	-	2,550,000	-	-	-	-	2,539,963
Other2	-	-	-	-	-	-	2,634,910	-	-	-	-	-	2,634,910
SHAREHOLDERS EQUITY	345,371,216	13,084,980,873	1,893,489,828	565,422,795	2,945,435,391	1,168,175,041	389,255,289	729,610,887	1,904,075,012	100,471,435	753,392	1,139,807,853	24,266,849,011
TOTAL EQUITY & LIABILITIES	347,645,126	17,500,810,944	7,595,222,507	3,394,717,401	8,093,368,048	4,685,213,761	638,421,476	1,118,205,184	3,434,620,623	129,415,016	4,467,383	1,257,852,554	48,199,960,024

Annexure 3: Life Reassurers Statement of Comprehensive Income for the quarter ended 31 March 2021

	First_Mutual_Reinsurance	Baobab_Reinsurance	FBC_Reinsurance	ZEP_RE-Insurance	Total
Gross Premium Written	5,119,758.00	37,370,141.34	13,295,777.61	8,349,957.99	\$ 64,135,634.94
Outward Reassurance Premium	423,772.00	8,861,621.68	6,470,733.89	0	\$ 15,756,127.57
Net Premium Written	4,695,986.00	28,508,519.66	6,825,043.72	8,349,957.99	\$ 48,379,507.37
Unearned Premiums	0	0	0	312,955.55	\$ 312,955.55
Net Earned Premium	4,695,986.00	28,508,519.66	6,825,043.72	8,037,002.44	\$ 48,066,551.82
Claims Paid	52,288.00	16,622,826.97	19,823,677.03	5,536,689.86	\$ 42,035,481.86
Claims Outstanding	0	0	0	138,994.14	\$ 138,994.14
Claims Incurred But Not Reported	0	2,454,880.80	0	1,434,417.92	\$ 3,889,298.72
Net Claims	52,288.00	19,077,707.77	19,823,677.03	7,110,101.92	\$ 46,063,774.72
Management Expenses	1,145,307.00	5,705,674.04	0	190,481.85	\$ 7,041,462.89
Net Fees and Commission Paid	928,770.00	6,142,566.07	1,360,755.24	1,274,466.42	\$ 9,706,557.73
Underwriting Profit/(Loss)	2,569,621.00	-2,417,428.22	-14,359,388.55	-538,047.75	\$ (14,745,243.52)
Fair value adjustments (positive)	53,330,270.00	0	0	138,994.14	\$ 53,469,264.14
Dividend income	91,858.00	0	0	0	\$ 91,858.00
Other Income	-60,156.00	680,184.00	0	0	\$ 620,028.00
Other Income2	0	81,090,419.00	0	0	\$ 81,090,419.00
Other Income3	0	1,674,418.00	0	0	\$ 1,674,418.00
Earnings Before Interest and Taxation	55,931,593.00	81,027,592.78	-14,359,388.55	-399,053.61	\$ 122,200,743.62
Interest	0	0	4,541,002.00	1,589,710.49	\$ 6,130,712.49
Earnings Before Tax	55,931,593.00	81,027,592.78	-9,818,386.55	1,190,656.88	\$ 128,331,456.11
Taxation	0	-17,726.00	-2,427,105.16	0	\$ (2,444,831.16)
Earnings After Tax	55,931,593.00	81,045,318.78	-7,391,281.39	1,190,656.88	\$ 130,776,287.27
Total Comprehensive Profit/(Loss) for the Period	55,931,593.00	81,045,318.78	-7,391,281.39	1,190,656.88	\$ 130,776,287.27
Total Comprehensive Profit/(Loss) Attributable to Shareholders	55,931,593.00	81,045,318.78	-7,391,281.39	1,190,656.88	\$ 130,776,287.27

Annexure 4: Life Reassurers Statement of Financial Position as at 31 March 2021

	First_Mutual_Rei	SaahabeReinsura	FMC Reinsurance	ZEP_RE-Insurance	Total
Non-Current Assets					
Intangible Assets	0	0	3,345,293.00	0	\$ 3,345,293
Property and Equipment	237,722.00	3,424.00	31,954,467.00	0	\$ 32,195,613
Investments: Quoted equities	107,142,333.00	0	12,246,920.01	0	\$ 119,389,253
Bonds	14,959.00	0	0	30,473,432.11	\$ 30,488,391
Deferred tax asset	0	36,095.00	0	0	\$ 36,095
Deferred acquisition costs	0	0	0	1,305,404.38	\$ 1,305,404
Other Non-Current Assets1	0	13,033,000.00	0	0	\$ 13,033,000
Other Non-Current Assets2	0	7,849,797.00	0	0	\$ 7,849,797
Other Non-Current Assets3	0	0	742,609,586.00	0	\$ 742,609,586
Total Non-Current Assets	107,395,014.00	20,922,316.00	790,156,266.01	31,778,836.49	\$ 950,252,433
Current Assets					
Premium Receivable	1,269,763.00	0	0	0	\$ 1,269,763
Money market investments	455,233.00	0	1,726,108.45	0	\$ 2,181,341
Short term Investments	0	137,818,250.00	0	0	\$ 137,818,250
Other receivables	4,336,519.00	0	25,704,988.00	3,577,179.03	\$ 33,618,686
Cash and Bank Balances	4,235,868.00	13,292,441.00	105,954.10	0	\$ 17,634,263
Other Current Assets1	0	63,153,592.00	457,042,824.41	0	\$ 520,196,416
Other Current Assets2	0	0	223,659,632.00	0	\$ 223,659,632
Total Current Assets	10,297,383.00	214,264,283.00	708,239,506.96	3,577,179.03	\$ 936,378,352
Total Assets	117,692,397.00	235,186,599.00	1,498,395,772.97	35,356,015.52	\$ 1,886,630,784
Liabilities					
Long (Non-Current) Liabilities					
Deferred Taxation	0	0	73,672,118.00	0	\$ 73,672,118
Short (Current) Liabilities					
Outstanding Claims	707,507.85	0	0	333,186.60	\$ 1,040,694
Claims Incurred but not Reported	536,121.00	9,226,628.00	0	5,458,400.42	\$ 15,221,149
Insurance contract liabilities	334,318.00	0	0	0	\$ 334,318
Retrocession Arrangements	0	7,727,963.00	0	0	\$ 7,727,963
Life Fund	0	35,979,000.00	0	0	\$ 35,979,000
Unearned Premium Reserve	0	0	33,210.84	6,255,297.74	\$ 6,288,509
Amounts Due To Reinsurers	9,276,916.00	0	0	0	\$ 9,276,916
Other Short Term Liabilities					
Other Liabilities1	195,530.00	2,750,796.00	443,990,356.00	0	\$ 446,936,682
Other Liabilities2	112,989.00	528,042.00	52,787,234.00	0	\$ 53,428,265
Other Liabilities3	0	0	295,313,327.16	0	\$ 295,313,327
Total Liabilities	11,163,381.85	56,212,429.00	865,796,246.00	12,046,884.76	\$ 945,218,942
SHARE CAPITAL AND RESERVES					
Share Capital	700	487,727.00	900,000.00	0	\$ 1,388,427
Share Premium	2,287,595.15	6,281,124.00	42,703,332.00	0	\$ 51,272,051
Revaluation Reserve	0	0	31,205,439.00	0	\$ 31,205,439
Non Distributable Reserve	0	0	37,351.00	0	\$ 37,351
Retained Earnings - Prior years	48,309,127.00	91,160,000.00	5,200,786.00	22,118,473.89	\$ 166,788,387
Retained Earnings - Current year	55,931,593.00	81,045,319.00	-7,391,281.40	1,190,656.88	\$ 130,776,287
Other1	0	0	559,943,900.37	0	\$ 559,943,900
SHAREHOLDERS EQUITY	106,529,015.15	178,974,170.00	632,599,526.97	23,309,130.77	\$ 941,411,843
TOTAL EQUITY & LIABILITIES	117,692,397.00	235,186,599.00	1,498,395,772.97	35,356,015.53	\$ 1,886,630,785